

Bonds of Foreign Corporations. In *theory*, bonds of a corporation, however prosperous, cannot enjoy better security than the obligations of the country in which the corporation is located. The government, through its taxing power, has an unlimited prior claim upon the assets and earnings of the business; in other words, it can take the property away from the private bondholder and utilize it to discharge the national debt. But in actuality, distinct limits are imposed by political expediency upon the exercise of the taxing power. Accordingly we find instances of corporations meeting their dollar obligations even when their government is in default.³

Foreign-corporation bonds have an advantage over governmental bonds in that the holder enjoys specific legal remedies in the event of nonpayment, such as the right of foreclosure. Consequently it is probably true that a foreign company is under greater *compulsion* to meet its debt than is a sovereign nation. But it must be recognized that the conditions resulting in the default of government obligations are certain to affect adversely the position of the corporate bondholder. Restrictions on the transfer of funds may prevent the payment of interest in dollars even though the company may remain amply solvent.⁴ Furthermore, the distance separating the creditor from the property, and the obstacles interposed by governmental decree, are likely to destroy the practical value of his mortgage security. For these reasons the unfavorable conclusions reached with respect to foreign-government obligations as fixed-value investments must be considered as applicable also to foreign-corporation bonds.

SIZE

The bonds of very small enterprises are subject to objections which disqualify them as media for conservative investment. A company of relatively minor size is more vulnerable than others to unexpected happenings, and it is likely to be handicapped by the lack of strong banking connections or of technical resources. Very small businesses, therefore, have never been able to obtain public financing and have depended on private capital, those supplying the funds being given the double induce-

³ See Appendix Note 15 for examples.

⁴ See Appendix Note 16 for examples.